



EBay Auctions

Much of the emphasis of “e-sourcing” in the business-to-business (B2B) context is on creating ways for improving access to suppliers, facilitating competition, and driving down prices through the use of procurement internet auctions. Because Internet auctions have lower participation and transaction costs and provide ready access to large markets, companies often use them to buy and sell excess inventory, as well as first-run goods and commodities.

Sometimes sellers are uncertain of the price their goods will fetch. In these cases, auctions are extremely effective in helping sellers determine this true market value. These situations sometimes arise in the B2B context with the marketing of new products, and they are also quite common in the business-to-consumer (B2C) and consumer-to-consumer (C2C) contexts, when the seller is uncertain about the true value of the object being sold. Examples of such objects include antiques, art, and musical instruments, and this is one of the reasons why eBay has become such a popular platform for selling these goods. For example, on a typical day, over 250,000 objects are listed on eBay in the “Antiques” category, over 270,000 objects under “Art” and over 150,000 under “Musical Instruments.”

The eBay market for musical instruments provides a nice example. Purchasing a new instrument is an important decision for a musician. High quality musical instruments are made to last, and so tend to retain their value well, and sometimes become more valuable over time. As a consequence, musical instruments are often purchased not just for making music, but also as an investment, and an individual’s *willingness-to-pay* will consist of two components:



- The instrument’s *resale value* (the investment component).
- The instrument’s *use value* (derived from the pleasure gotten from making music).

The *true resale value* of a musical instrument is often not readily apparent from the description posted on eBay because it depends on many dimensions, and often sellers themselves are not aware of the instrument’s true value. Descriptions, however, often include specialized technical

This note was prepared as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

Prepared by Prof Elena Katok, Bradley Barnhorst and Prof. Gary Bolton. Details about the market for musical instruments were contributed by Richard Engelbrecht-Wiggans (Professor Emeritus, University of Illinois).

Revised: December 2, 2015

information, such as the serial number, the year made, the manufacturer's lot number, and so on, and this technical information can be useful in evaluating the instrument's true resale value.

There are *experts* who shop on eBay (often they are dealers who purchase instruments to be re-sold) who are able to place a precise resale value of an instrument based on the technical information provided in the description.

Experienced eBay bidders are often aware of who the experts are (they have learned to recognize experts' eBay IDs from hanging around the market and associated social media), but may not be themselves knowledgeable enough to determine the true resale value of an instrument. The information provided in the description is often sufficient for an experienced bidder to come up with an *estimate* of the resale value, which is not as accurate as the expert's estimate. For this reason, experts often find it important to try to protect their more accurate information.

The *private use value* of the instrument varies among individuals because of differences in income, access to similar instruments, geographical locations, or simply taste. Unlike the resale value, a bidder can be sure of his or her private use value.

Instructions for how the role-play auction works

You will bid in an auction for a French horn that the seller posted for auction with the following description:

Holton Farkas H179 Nickel Silver Fixed Bell Double French Horn. Original owner, purchased new in 1977. Cleaned and re-strung. All slides and valves work great, has never had a stuck slide. Has some lacquer wear/tarnish on the leadpipe and the hand hold area by the valve levers. Has a few minor scratches, but is in overall excellent condition. Comes with 2 MDC silver mouthpieces, and original hard case. Serial number 547xxx.

The bidders

One bidder in the auction is an expert who knows the true resale value of the French horn. The expert is a dealer and her interest in the horn is solely commercial. If she wins the auction, her profit will be

$$\text{True resale value} - \text{price paid.}$$

All other bidders in the auction are non-experts. Each has a private use value that they know for certain, although it is safe to say that all the values are in the range of \$100 to \$300. Non-experts are uncertain of the true resale value although each has a private signal of what that value may be, accurate $\pm$ \$1000. He finds out the true resale value only if he wins the auction. If he wins, his profit will be

$$\text{True resale value} + \text{private use value} - \text{price paid.}$$

Keep in mind: YOUR OBJECTIVE in this auction is to make a POSITIVE PROFIT.

The eBay auction

The auction you will bid in runs by the same rules as an eBay auction. EBay's own description is the description of the auction, with their advice on how to bid, is shown in the box below.

Incremental bidding

We suggest that you bid the maximum amount that you're willing to pay for an item, and let our system incrementally increase your bid for you, as necessary. As the listing proceeds, we compare your bid to those of other bidders. When you're outbid, we [automatically bid](#) on your behalf up to your maximum bid. We increase your bid by increments only as much as necessary to maintain your position as highest bidder. Your maximum bid reflects the amount you're willing to pay for an item, but you could end up paying less.

Automatic bidding

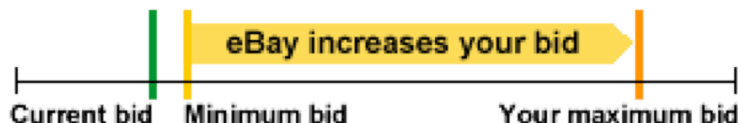
Our max bidding (also called automatic bidding) system makes bidding convenient so you don't have to keep coming back to re-bid every time someone places another bid. In live auction events, max bids are called absentee bids, and work a little bit differently than in other auction-style listings on eBay. Learn more about [participating in live auction events](#).

How max bidding, or automatic bidding, works

When you place a bid, you enter the maximum amount you're willing to pay for the item. The seller and other bidders don't know your maximum bid.

We place bids on your behalf using the automatic [bid increment](#) amount, which is based on the current high bid. We increase your bid only as much as necessary to make sure that you remain the high bidder, or to meet the reserve price, up to your maximum amount.

If another bidder places the same maximum bid or higher, we notify you so you can place another bid. Your maximum bid is kept confidential until it is exceeded by another bidder.



Here's an example:

- 1 The current bid for an item is \$10.00. Tom is the high bidder, and has placed a maximum bid of \$12.00 on the item. His maximum bid is kept confidential from other members.
- 2 Laura views the item and places a maximum bid of \$15.00. Laura becomes the high bidder.
- 3 Tom's bid is raised to his maximum of \$12.00. Laura's bid is now \$12.50. We send Tom an email that he has been outbid. If he doesn't raise his maximum bid, Laura wins the item.

The auction has a *hard close*. This means it will end at a deadline announced at the time the auction becomes available for bidding. Your bid must be received on or before this deadline to be included in determining of the auction results.